EQUITY RESEARCH | CONSUMER STAPLES

L'ORÉAL S.A.

Comprehensive Equity Valuation Analysis

Current Price:	**€350.65**
Market Cap:	**€187.9B**
Blended Target:	**€282.09**
Recommendation:	**HOLD / WAIT**

WACC

8.0%

DCF Target Range

€203–267

EXECUTIVE SUMMARY

€350.65
Current Share Price
Euronext Paris

€187.9B
Market Capitalisation
~USD 205B

€43,487M
FY24A Revenue
+5.6% YoY

20.0%
FY24A EBIT Margin
+40bps YoY

€6,644M
FY24A Free Cash Flow
+8.6% YoY

FINANCIAL SNAPSHOT (€M)

	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E
Revenue	32,288	38,261	41,183	43,487	46,014	48,872	51,827	54,801
YoY Growth	—	18.5%	7.6%	5.6%	5.8%	6.2%	6.0%	5.7%
Gross Profit	25,276	28,833	31,796	33,846	35,670	37,885	40,176	42,482
EBIT	6,154	7,042	8,063	8,687	9,412	9,996	10,597	11,199
EBIT Margin	19.1%	18.4%	19.6%	20.0%	20.5%	20.5%	20.5%	20.4%
Net Income	4,597	5,707	6,184	6,409	6,912	7,358	7,819	8,279
FCF	5,653	4,935	6,116	6,644	6,819	6,921	7,471	7,865

INVESTMENT THESIS

KEY STRENGTHS

- Global #1 beauty — 37 brands, 4 divisions
- 10.4% Rev. CAGR FY21–24
- R&D ~3.5% of revenue sustains moat
- FCF >95% NOPAT conversion

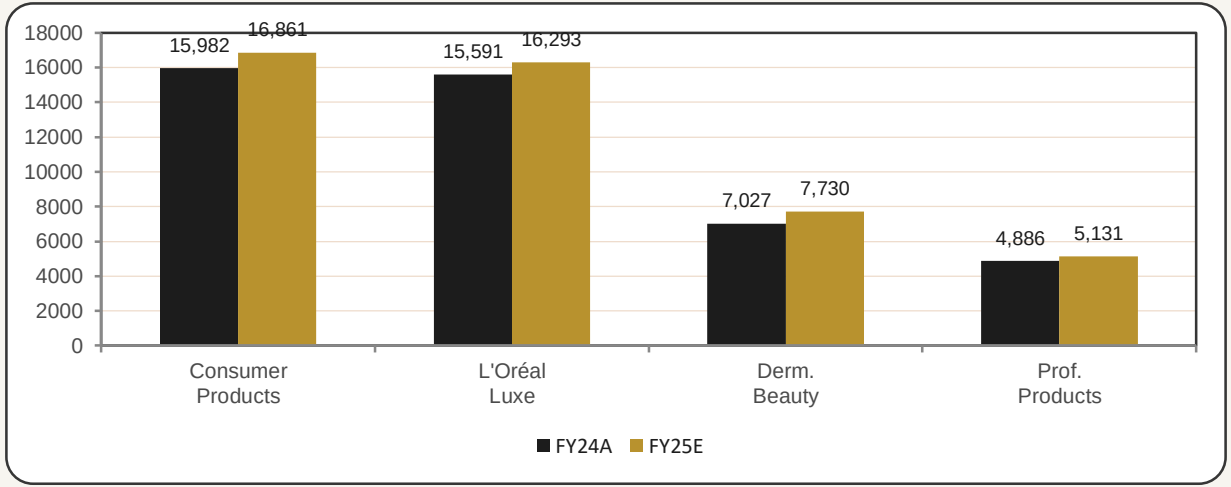
KEY RISKS

- 20–42% premium to DCF intrinsic value
- China/Luxe demand normalization
- SG&A 54% constrains OpEx leverage
- FX risk: ~40% non-EUR revenues

COMPANY PROFILE

Founded	**1909, Clichy, France**
CEO	**Nicolas Hieronimus**
Employees	**~90,000 worldwide**
Listing	**Euronext Paris (OR)**
Index	**CAC 40, Euro Stoxx 50**
FY24 Rev.	**€43,487M**
Mkt. Cap	**€187.9B**
EV	**€176.3B**
Shares	**535.8M outstanding**
Dividend	**~55.9% payout ratio**
Net D/EBITDA	**0.4x (conservative)**
Rating	**HOLD / WAIT**

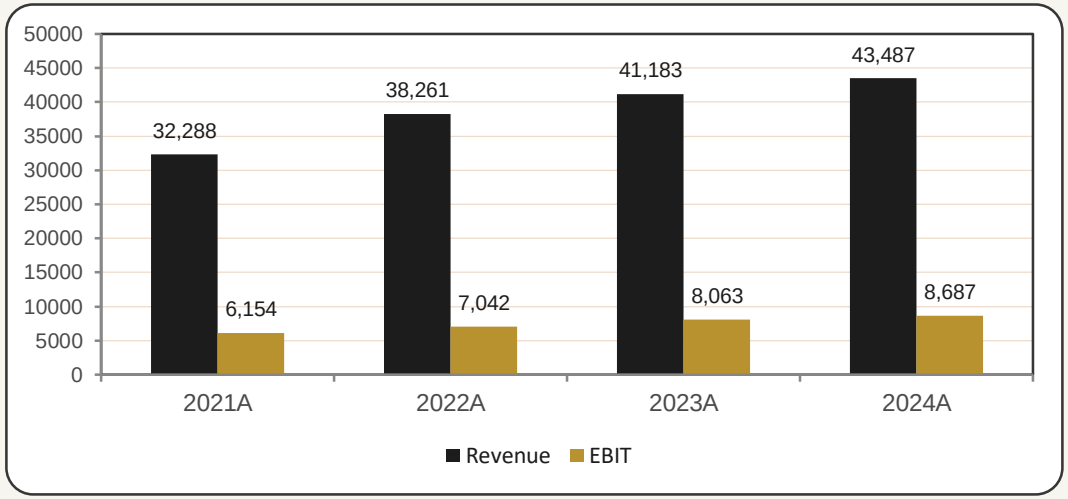
REVENUE BY DIVISION (€M) — FY24A vs FY25E



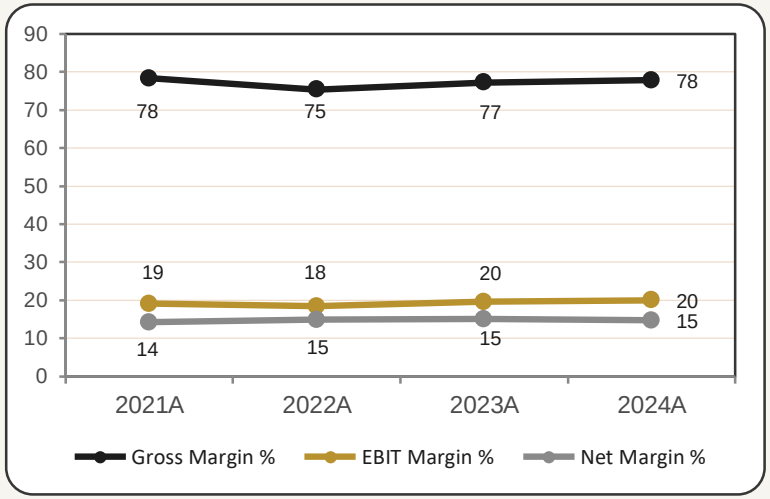
SEGMENT GROWTH ASSUMPTIONS (BASE CASE)

Division	FY21A	FY24A	FY21–24 CAGR	FY25E	FY26E	FY
Consumer Products	€12,234M	€15,982M	9.3%	5.5%	5.5%	5.0
L'Oréal Luxe	€12,346M	€15,591M	8.1%	4.5%	6.0%	6.5
Derm. Beauty	€3,924M	€7,027M	21.5%	10.0%	9.0%	8.0
Prof. Products	€3,784M	€4,886M	8.9%	5.0%	5.0%	5.0

REVENUE & EBIT (€M)



MARGIN EVOLUTION (%)

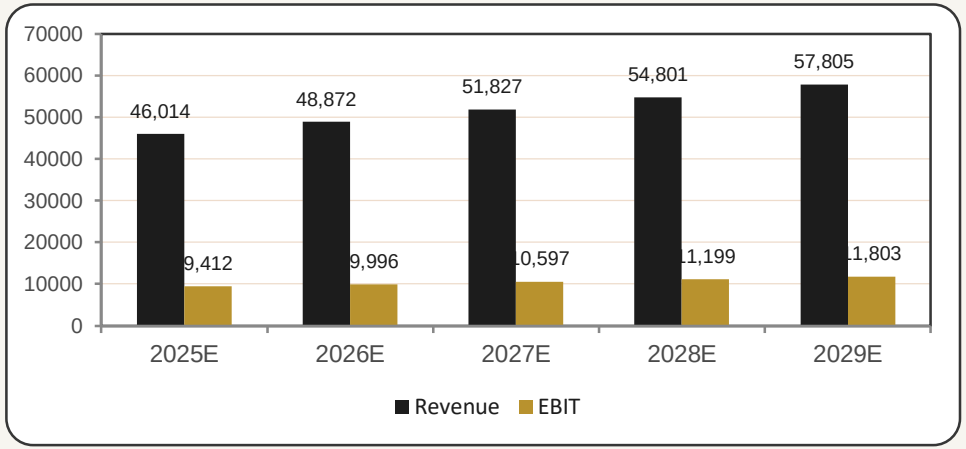


KEY OPERATING & RETURN METRICS

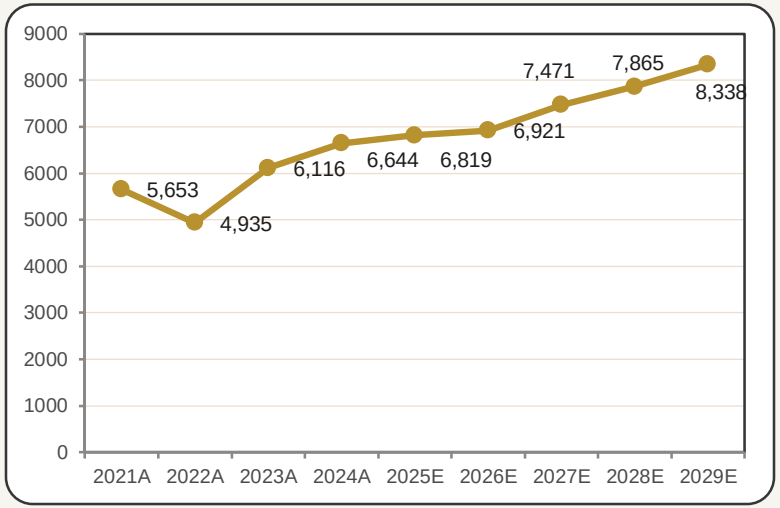
10.4%	77.8%	20.0%	>95%	19.3%	17.2%	0.4x
Revenue CAGR (FY21–24)	Gross Margin (FY24A)	EBIT Margin (FY24A)	FCF Conversion (FY24A)	RoE (FY24A)	RoIC (FY24A)	Net D/EBITDA (FY24A)

FINANCIAL FORECAST (FY2025E–FY2029E)

PROJECTED REVENUE & EBIT (€M)



FREE CASH FLOW TREND (€M)



INTEGRATED P&L SUMMARY (€M)

Metric	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	43,487	46,014	48,872	51,827	54,801	57,805
YoY Growth	5.6%	5.8%	6.2%	6.0%	5.7%	5.5%
Gross Profit	33,846	35,670	37,885	40,176	42,482	44,810
Gross Margin	77.8%	77.5%	77.5%	77.5%	77.5%	77.5%
EBIT	8,687	9,412	9,996	10,597	11,199	11,803
EBIT Margin	20.0%	20.5%	20.5%	20.4%	20.4%	20.4%
Net Income	6,409	6,912	7,358	7,819	8,279	8,741
FCF	6,644	6,819	6,921	7,471	7,865	8,338

WACC DERIVATION

Risk-Free Rate (Rf)	**3.74%**
Equity Risk Premium	**5.01%**
Levered Beta	**0.91x**
Cost of Equity (Ke)	**8.30%**
Weight of Equity	**94.85%**
Pre-Tax Cost of Debt	**2.32%**
After-Tax Cost of Debt	**1.77%**
Weight of Debt	**5.15%**
WACC	**8.0%**

UNLEVERED FCF SCHEDULE (€M)

	2025E	2026E	2027E	2028E	2029E
EBIT	9,412	9,996	10,597	11,199	11,803
(-) Tax on EBIT	(2,249)	(2,388)	(2,532)	(2,676)	(2,820)
NOPAT	**7,163**	**7,607**	**8,065**	**8,523**	**8,983**
(+) D&A	1,327	1,410	1,498	1,591	1,687
(-) CapEx	(1,700)	(1,806)	(1,915)	(2,025)	(2,136)
(-) Δ NWC	273	(49)	61	11	35
UFCF	**7,062**	**7,162**	**7,708**	**8,099**	**8,569**
Discount Factor	0.962	0.891	0.826	0.765	0.708
PV of FCF	6,796	6,384	6,365	6,194	6,070

TERMINAL VALUE — PERPETUITY GROWTH

Sum of PV of FCFs	€31,810M
TGR	2.5%
Terminal Value	€113,901M
PV of Terminal Value	€80,686M
Enterprise Value	€112,496M
(-) Net Debt	(€4,447M)
Equity Value	**€108,047M**
Implied Price	**€203 / €202 (dil.)**

TERMINAL VALUE — EXIT MULTIPLE METHOD

Sum of PV of FCFs	€31,810M
Exit EV/EBITDA	12.0x
Terminal Value	€161,880M
PV of Terminal Value	€114,673M
Enterprise Value	€146,483M
(-) Net Debt	(€4,447M)
Equity Value	**€142,035M**
Implied Price	**€267 / €265 (dil.)**

TRADING COMPARABLES ANALYSIS

PEER GROUP OVERVIEW

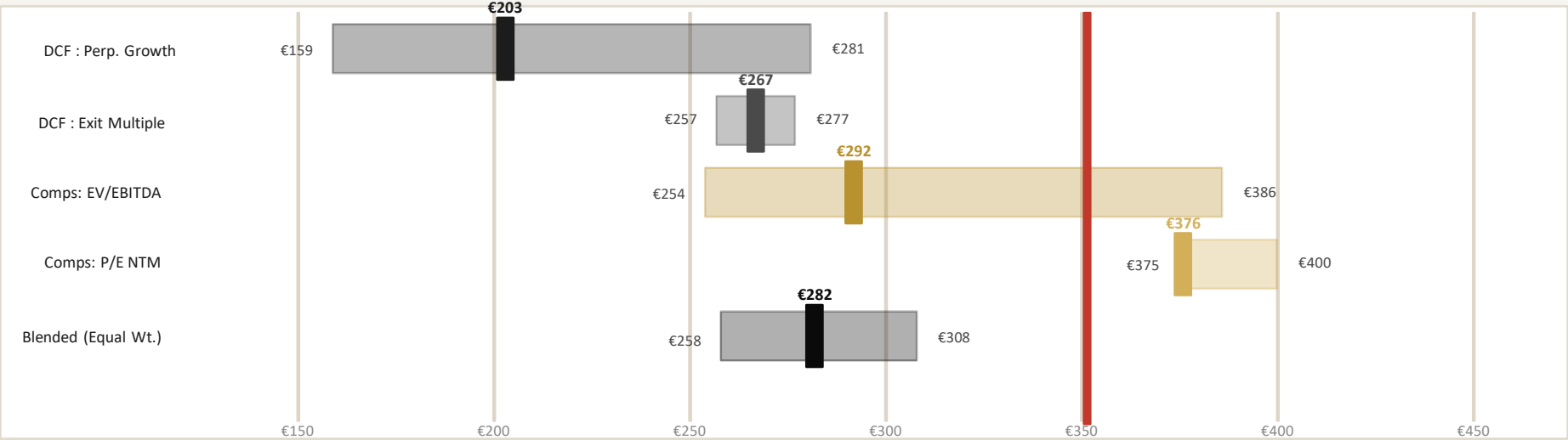
Company	Ticker	Mkt Cap (€mm)	EV (€mm)	EV/Rev NTM	EV/EBITDA NTM	EV/EBIT NTM	P/E NTM
L'Oréal S.A.	OR FP	187,878	176,346	3.79x	15.6x	18.6x	26.5x
Estée Lauder	EL US	23,052	26,662	2.00x	11.8x	17.1x	28.3x
Shiseido	4911 JP	6,604	7,238	1.33x	10.3x	20.0x	28.5x
Peer Mean	—	—	—	1.66x	11.0x	18.5x	28.4x

IMPLIED VALUATION FOR L'ORÉAL — MEDIAN PEER MULTIPLES

Multiple Basis	Multiple Applied	L'Oréal Metric	Implied EV (€mm)	Implied Equity Value (€mm)	Implied Share Price
EV/Revenue (NTM)	1.66x	€46,520M NTM Rev.	€77,348M	€88,881M	€165.88
EV/Revenue (2025E)	1.66x	€44,052M 2025E Rev.	€72,932M	€84,464M	€157.64
EV/EBITDA (NTM)	11.0x	€11,281M NTM EBITDA	€124,619M	€136,152M	€254.11
EV/EBITDA (2025E)	13.7x	€10,556M 2025E EBITDA	€145,047M	€156,580M	€292.24

OBSERVATION: L'Oréal trades at a significant premium to peers on EV/EBITDA (15.6x vs 11.0x median), reflecting its brand moat and superior margins. Only the P/E comp (€376) suggests upside from current levels — driven by high-quality earnings multiple.

IMPLIED SHARE PRICE RANGE BY METHODOLOGY (€) — BASE CASE



VALUATION SUMMARY TABLE

Methodology	Mid EV (€mm)	Implied Price	vs. Current	Source
DCF — Perpetuity Growth	112,496	€203	-42.1%	WACC 8.0%, TGR 2.5%
DCF — Exit Multiple	146,483	€267	-23.9%	Exit 12x EV/EBITDA
Trading Comps (EV/EBITDA)	145,047	€292	n/a	Peer median 13.7x 2025E
Trading Comps (P/E NTM)	—	€376	+7.3%	Peer median 28.4x NTM
Blended Valuation	**134,675**	**€282**	**-19.6%**	**Equal weight of above**
Current Market Price	**176,346**	**€350.65**	**—**	**As of March 2025**

SENSITIVITY ANALYSIS

★ Base Case (WACC 7.96%) | Above Current Price (€350.65) | Deep Value / Discount (<€200–230)

WACC vs. PERPETUAL GROWTH RATE : IMPLIED DILUTED SHARE PRICE (€)

WACC \ TGR →	1.5%	2.0%	2.5%	3.0%	3.5%
5.96%	€270	€299	€336	€385	€454
6.96%	€215	€232	€253	€280	€314
7.96% ◀ Base	€177	€189	**€202**	€218	€238
8.96%	€150	€158	€167	€178	€190
9.96%	€130	€136	€142	€149	€158

WACC vs. EXIT EV/EBITDA MULTIPLE : IMPLIED DILUTED SHARE PRICE (€)

WACC \ Exit →	10.0x	11.0x	12.0x ◀ Base	13.0x	14.0x
5.96%	€248	€268	€287	€307	€326
6.96%	€239	€257	€276	€295	€313
7.96% ◀ Base	€230	€248	**€266**	€283	€301
8.96%	€221	€238	€255	€273	€290
9.96%	€213	€229	€246	€262	€279

ANALYST CONCLUSION

L'Oréal is a best-in-class consumer staples compounder with dominant global brand positioning, industry-leading margins (20%+ EBIT), and superior free cash flow generation (€6.6B FY24A). However, at €350.65, the stock trades at a material premium to our blended intrinsic value of ~€282, implying ~19.6% downside. We recommend investors wait for a more compelling entry — ideally a pullback towards the €240–270 range before establishing or adding to positions.

BULL CASE — KEY INVESTMENT STRENGTHS

Global #1 Beauty Franchise

37 brands, 4 divisions — unmatched distribution & brand equity across all price tiers

Premium Revenue Growth

10.4% CAGR FY21–24; Derm. Beauty +21% CAGR is the fastest-growing segment globally

R&D-Driven Competitive Moat

~3.5% of revenue reinvested; deep innovation pipeline sustains pricing power & loyalty

Best-in-Class FCF Quality

>95% NOPAT-to-FCF conversion; €6.6B in FY24A rising to €8.3B by FY29E

Conservative Balance Sheet

Net D/EBITDA just 0.4x; progressive dividend (~55.9% payout) with buyback optionality

BEAR CASE — KEY INVESTMENT RISKS

Rich Valuation Premium

At €350.65, trading 20–42% above DCF intrinsic value — limited margin of safety

China Macro Headwinds

Luxe division (€15.6B) facing demand normalization post-COVID recovery in Asia

SG&A Structural Drag

SG&A at 54% of revenue — structural cost base constrains further operating leverage

FX Exposure

~40% of revenues in non-EUR currencies; JPY and CNY headwinds remain meaningful

Multiple Compression Risk

Sector trading at 28.4x P/E median; any derating would significantly pressure implied price

L'ORÉAL S.A.

Equity Valuation Analysis | March 2025